

Michigan Education Savings Program
PO Box 55451
Boston MA 02205

IMPORTANT TAX INFORMATION ENCLOSED

SHIKHA R NUKALA
2712 LOON LN
OKEMOS, MI 48864-3352

☐ CORRECTED (if checked)

PAYER'S/TRUSTEE'S name, street address, city or town, state or province, country, ZIP or foreign postal code, and telephone no. Michigan Education Savings Program PO Box 55451 Boston MA 02205 (877)861-6377		1 Gross distribution	OMB No. 1545-1760 Form 1099-Q (Rev. April 2025) For calendar year <u>2025</u>	Payments From Qualified Education Programs (Under Sections 529 and 530)	
		\$ 45,061.73			
		2 Earnings			
\$ 15,260.92	Copy B For Recipient This is important tax information and is being furnished to the IRS. If you are required to file a return, a negligence penalty or other sanction may be imposed on you if this income is taxable and the IRS determines that it has not been reported.				
PAYER'S/TRUSTEE'S TIN		RECIPIENT'S TIN	3 Basis		4 Type of transfer: a ☐ Trustee-to-trustee b ☐ QTP to Roth IRA
38-3577305		XXX-XX-8039	\$ 29,800.81		6 Check if the recipient is not the designated beneficiary ☐
RECIPIENT'S name		5 Distribution is from: a ☐ Private QTP b ☒ State QTP c ☐ Coverdell ESA	7 If the fair market value (FMV) is shown below, see Pub. 970 , Tax Benefits for Education, for how to figure earnings.		
SHIKHA R NUKALA					
Street address (including apt. no.) 2712 LOON LN					
City or town, state or province, country, and ZIP or foreign postal code OKEMOS, MI 48864-3352					
Account number (see instructions) A24100901-01					

Form **1099-Q** (Rev. 4-2025) (keep for your records) www.irs.gov/Form1099Q Department of the Treasury - Internal Revenue Service

Instructions for Recipient

Distributions from Coverdell education savings accounts (CESAs) under section 530 and qualified tuition programs (QTPs) under section 529, including rollovers, may be taxable. Nontaxable distributions from CESAs and QTPs are not required to be reported on your income tax return. You must determine the taxability of any distribution. See Pub. 970 and the Instructions for Forms 1040 and 1040-SR for more information. Also see Form 5329 and its separate instructions.

Recipient's taxpayer identification no. (TIN). For your protection, this form may show only the last four digits of your TIN (SSN, ITIN, ATIN, or EIN). However, the payer or trustee has reported your complete TIN to the IRS.

Account number. May show an account or other unique number the payer has assigned to distinguish your account.

Box 1. Shows the gross distribution (including in-kind distributions) paid to you this year from a QTP or a CESA. This amount is the total of the amounts shown in boxes 2 and 3. See Pub. 970 for more information.

Caution: For CESA distributions (other than earnings on excess contributions) made during the calendar year, the payer/trustee is not required to report amounts in boxes 2 and 3. Instead, the payer/trustee may report the fair market value of the CESA as of December 31 of the calendar year in box 7. To figure your earnings and basis, use the Coverdell ESA—Taxable Distributions and Basis worksheet in Pub. 970.

Box 2. Shows the earnings part of the gross distribution shown in box 1. Generally, amounts distributed that are used to pay for qualified education expenses, transferred between trustees, or rolled over to another qualified education program or to an ABLE account, within 60 days, are not included in income.

Under a QTP, the amount in box 2 is included in income if there has been (a) more than one transfer or rollover within any 12-month period with respect to the same beneficiary, or (b) a change in the designated beneficiary and the new designated beneficiary is not a family member.

Under a CESA, the amount in box 2 is included in income if there has been a change in the designated beneficiary and the new designated beneficiary is not a family member or is over age 30 (except for beneficiaries with special needs).

Also, an additional 10% tax may apply to part or all of any amount included in income from the CESA or QTP. See Form 5329 and your tax return instructions for more information.

If a final (total) distribution is made from your account and you have not recovered your contributions, see Pub. 970 to determine if you have a deductible loss and how to claim it.

Box 3. Shows your basis in the gross distribution reported in box 1.

Boxes 4a-4b. Show whether a transfer was made from a trustee-to-trustee (from one QTP to another QTP, one CESA to another CESA, a CESA to a QTP, or a QTP to an ABLE account), or from a QTP to a Roth IRA. However, in certain transfers from a CESA the box will be blank.

Boxes 5a-5c. Show whether the gross distribution was from a private QTP, state QTP, or CESA.

Box 6. The designated beneficiary is the individual named in the document creating the trust or custodial account to receive the benefit of the funds in the account. If you are not the designated beneficiary, see Pub. 970 and the Instructions for Forms 1040 and 1040-SR.

Distribution codes. For the calendar year, the payer/trustee may, but is not required to, report in box 7 one of the following codes to identify the distribution you received: 1—Distributions (including transfers); 2—Excess contributions plus earnings taxable in the calendar year; 3—Excess contributions plus earnings taxable in the prior calendar year; 4—Disability; 5—Death; or 6—Prohibited transaction.

Future developments. For the latest information about developments related to Form 1099-Q and its instructions, such as legislation enacted after they were published, go to www.irs.gov/Form1099Q.

Free File Program. Go to www.irs.gov/FreeFile to see if you qualify for no-cost online federal tax preparation, e-filing, and direct deposit or payment options.

